



LATTE LAND

COFFEE HOUSE

2025 Annual Report of
LL Loyalists Members

Mercedes Brown, July 2026

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**Data represents Customers who
have signed up to Latte Land's
Loyalty Program.**

▶ Year in Review

▶ Regional and City Performance

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Year in Review

\$ 199,269

Total Revenue for 2025 from
Loyalty Customers

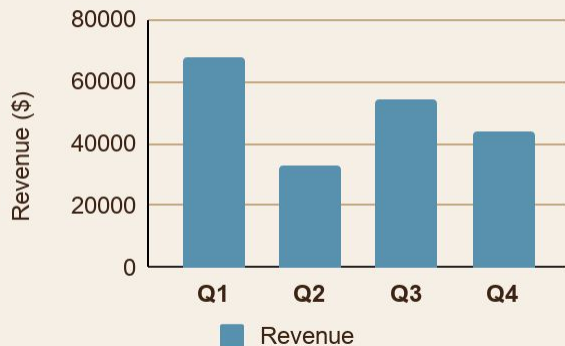
\$ 29,642

Best Performing Month
September

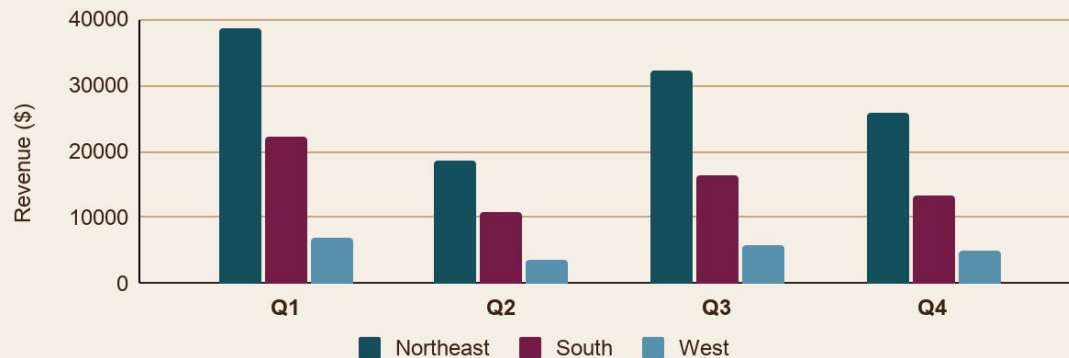
\$ 47,295

Best Performing Location
Boston

Quarterly Revenue



Quarterly Revenue by Region



Year in Review

497

Loyalty Members

83

City with the most Members

Houston

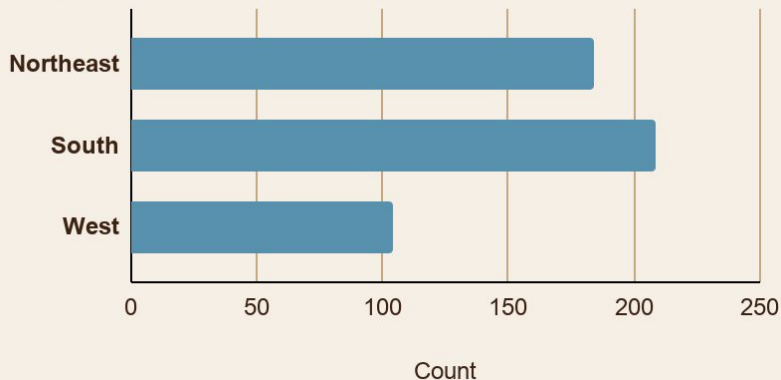
\$1,481 over

147 purchases

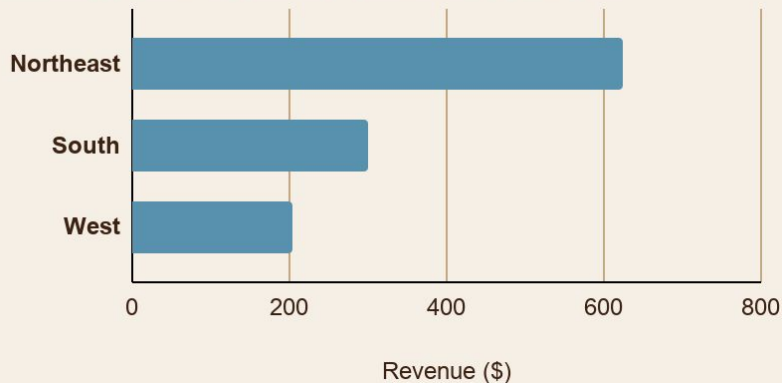
Top Loyalty Member

Dahlia V. from Boston

Loyalty Customer Distribution



Average Total Spend per Customer by Region



Year in Review

23,172

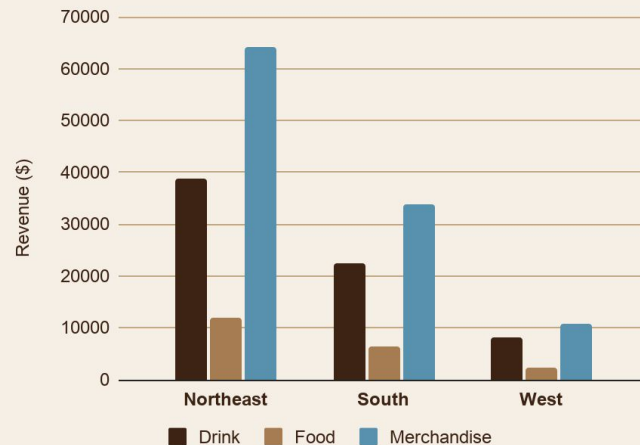
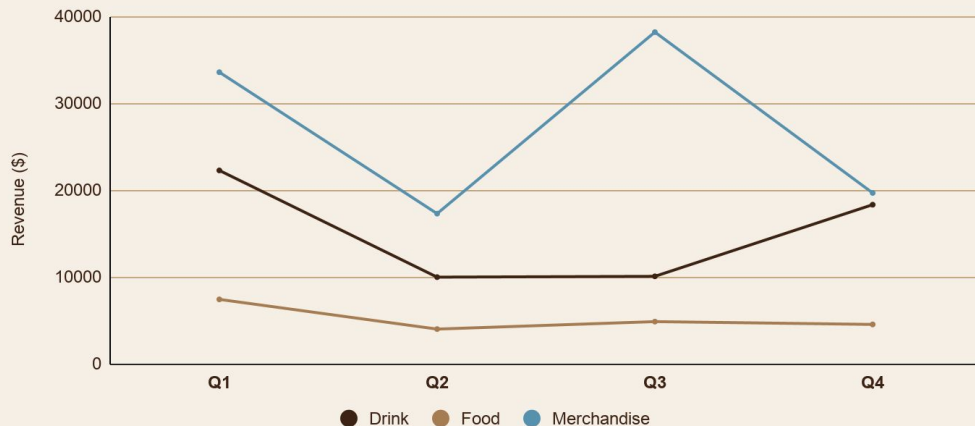
Units Purchased by Loyalty
Customers

1,751

Most Popular Product
Cappuccino

\$ 24,386

Most Valuable Product
12oz Bag of Coffee Beans



MoM Revenue Total and Change

Avg MoM Change
+ 5.64 %

Peak Month - September
+ 114.90 %

Biggest Drop - April
- 57.4 %



MoM Sales Volume by Transactions and Units

Avg Transactions

866

Avg Units Sold

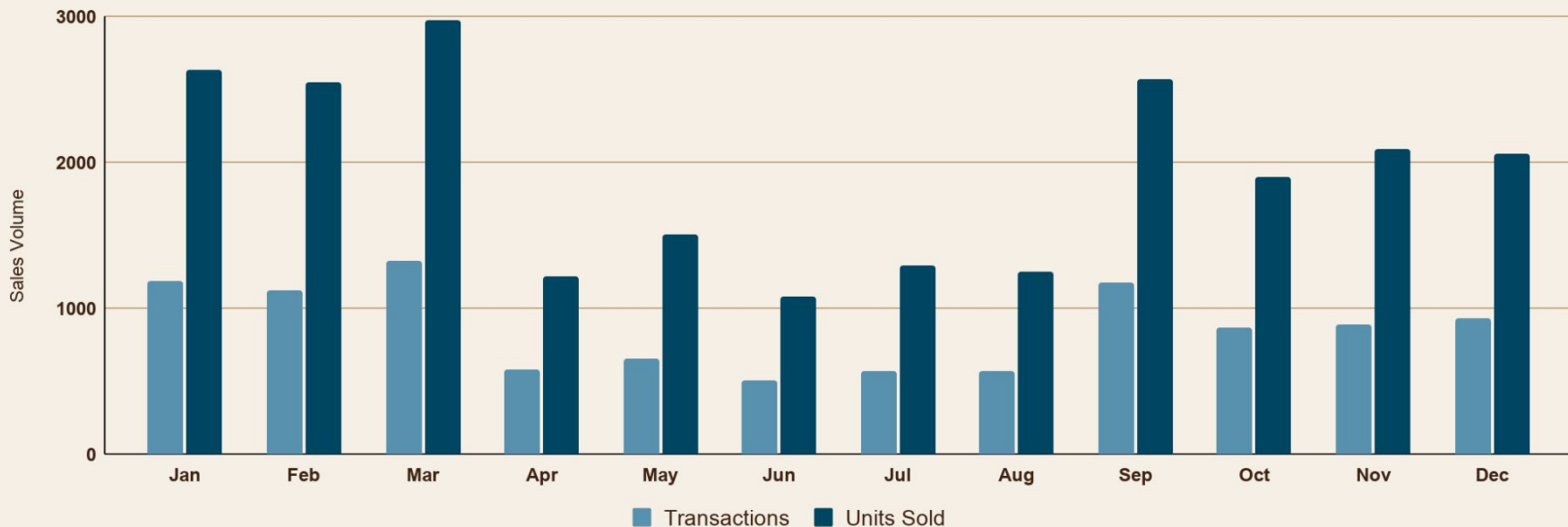
1,931

Peak Sales - March

1,324 / 2,979

Biggest Drop - June

506 / 1,087



Regional and City Performance

Do all regions see the same seasonality trend, or is it driven by one specific region / city?

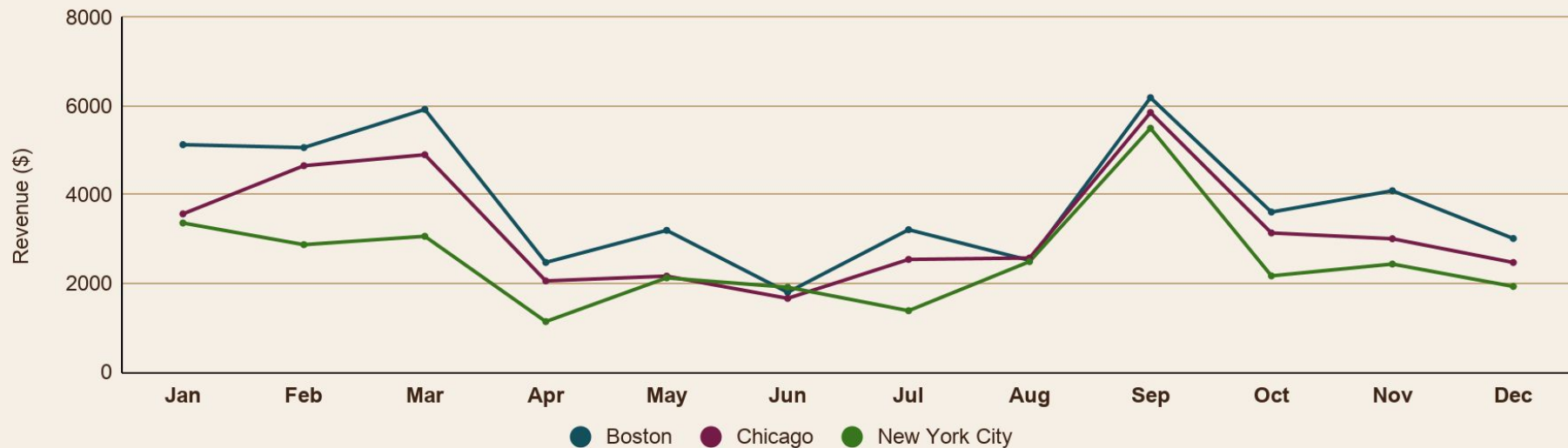
Which regions and cities bring in the highest revenue?

▶ Location performance

▶ MoM revenue by region

Location Performance in 2025						
	City	Customer Engagement		Sales Performance		Profitability
		Loyalty Count	Customers	Revenue	Transactions	
North America	Boston	70	120	\$46,194.75	2,347	\$9.07
	Chicago	66	110	\$38,574.25	1,878	\$9.50
East Coast	New York City	45	80	\$30,381.00	1,530	\$9.15
	Dallas	80	140	\$26,922.80	1,502	\$8.05
South America	Houston	83	150	\$25,821.45	1,445	\$8.09
	Austin	44	80	\$10,162.25	596	\$7.92
Europe	San Jose	45	80	\$8,194.75	437	\$8.72
	Los Angeles	33	60	\$6,951.00	348	\$9.04
	San Diego	35	65	\$6,066.75	305	\$9.46

Northeast MoM Revenue by City

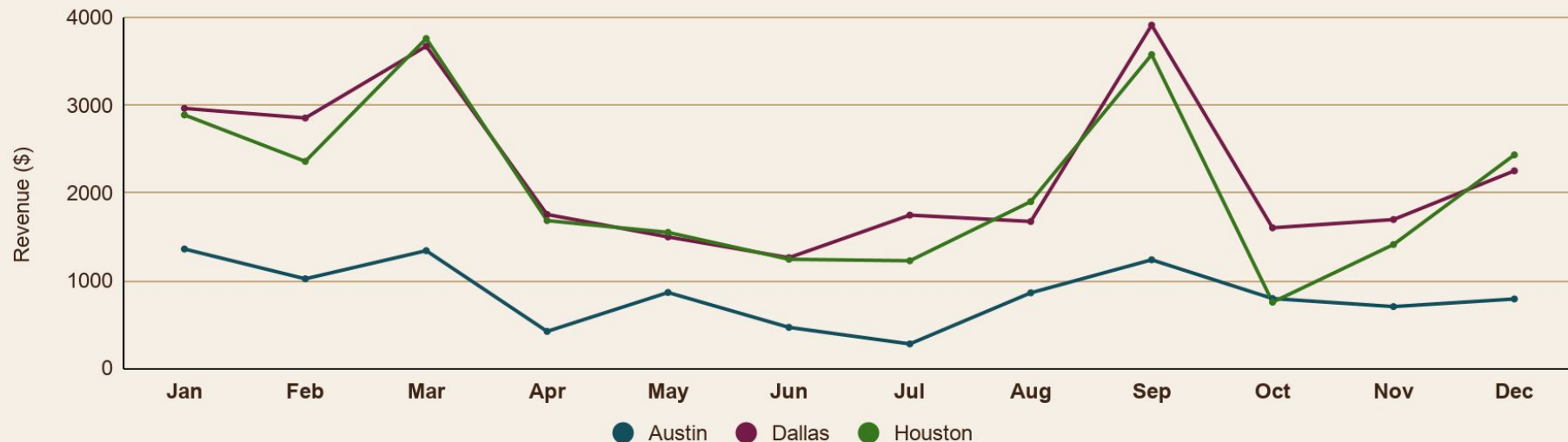


Average Monthly Revenue

\$ 3,198

	Low Month	Average	High Month
Boston	\$1,797	\$3,415	\$6,186
Chicago	\$1,661	\$3,042	\$5,851
New York City	\$1,138	\$2,485	\$5,498

South MoM Revenue by City

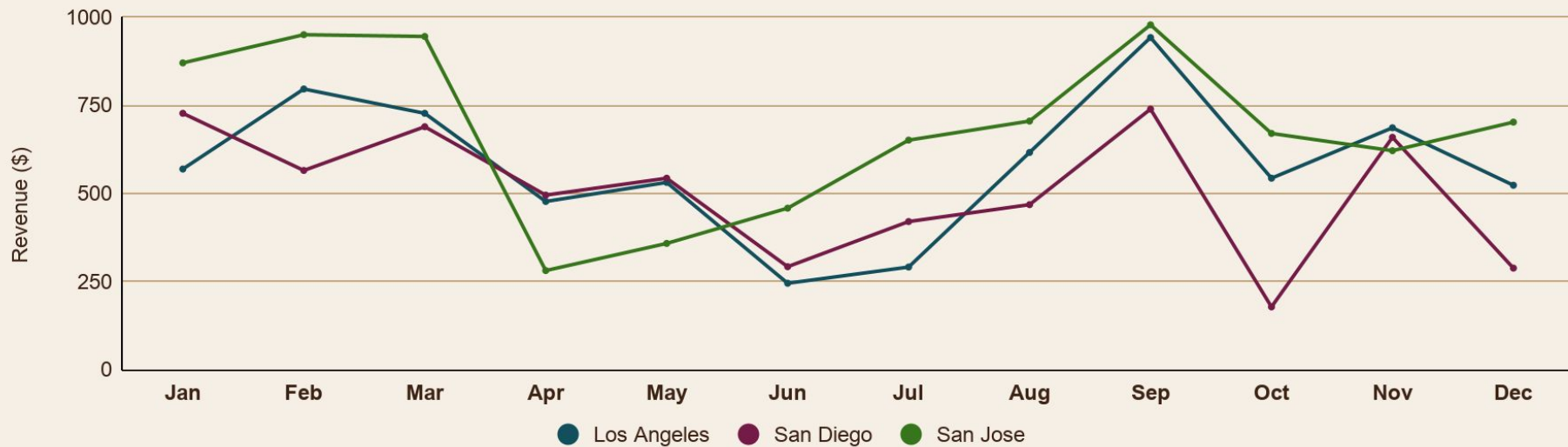


Average Monthly Revenue

\$ 1,747

	Low Month	Average	High Month
Austin	\$279	\$845	\$1,362
Dallas	\$1,263	\$2,101	\$3,917
Houston	\$755	\$2,035	\$3,764

West MoM Revenue by City



Average Monthly Revenue

\$ 589

	Low Month	Average	High Month
Los Angeles	\$245	\$576	\$942
San Diego	\$178	\$489	\$739
San Jose	\$281	\$682	\$978

Item and Category Performance Overview

How much revenue do individual items, and items per category, make?

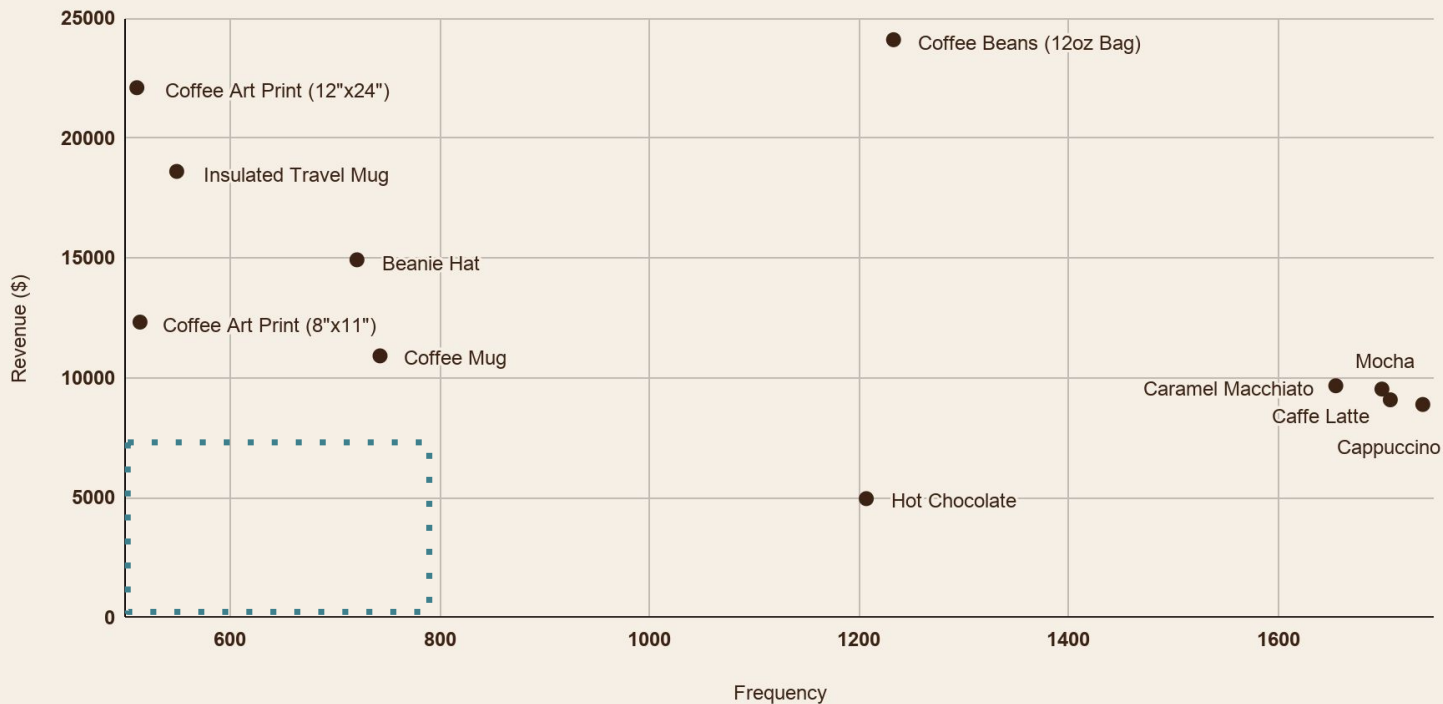
Does item purchase frequency lead to increased revenue?

- ▶ Insights broken out by category
- ▶ Plots for item frequency by revenue
- ▶ MoM frequency and revenue charts
- ▶ Bonus: Category and city association

Item Category Performance

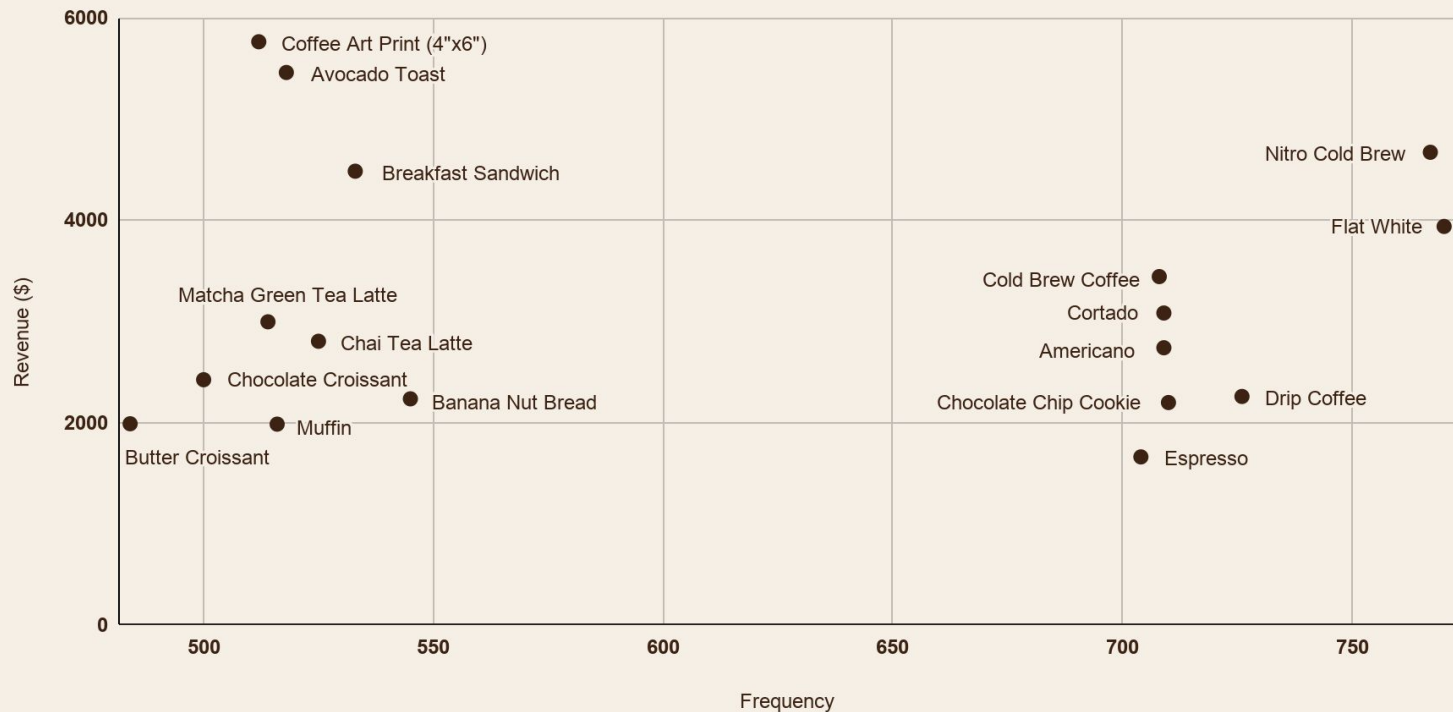
	Revenue	Units Sold	Avg Price
Drinks	\$69,724	14,355	\$4.87
Food	\$20,775	3,916	\$5.47
Merchandise	\$108,770	4,901	\$22.80

Frequency vs Revenue by Product (1/2)



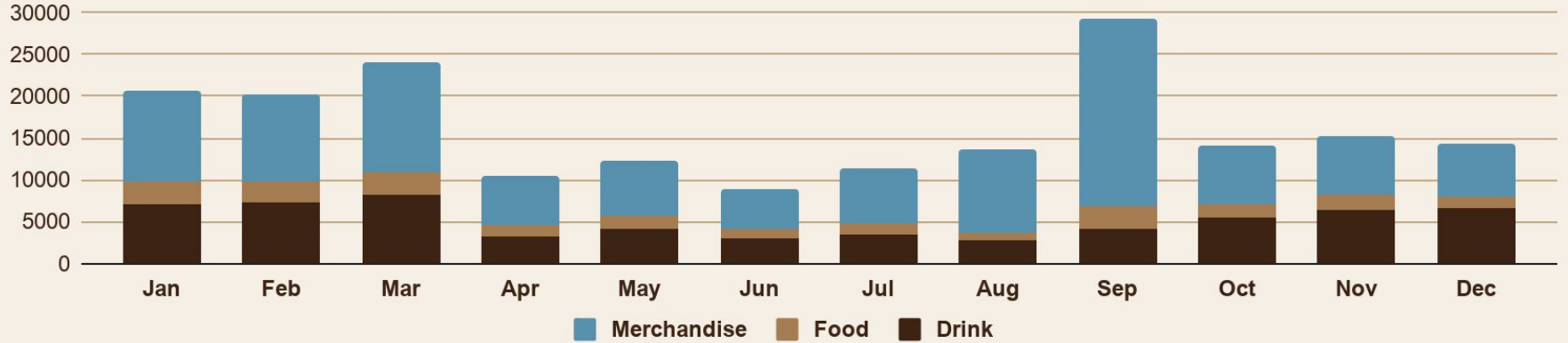
**Remaining 17 items are within dotted area, part 2

Frequency vs Revenue by Product (1/2)

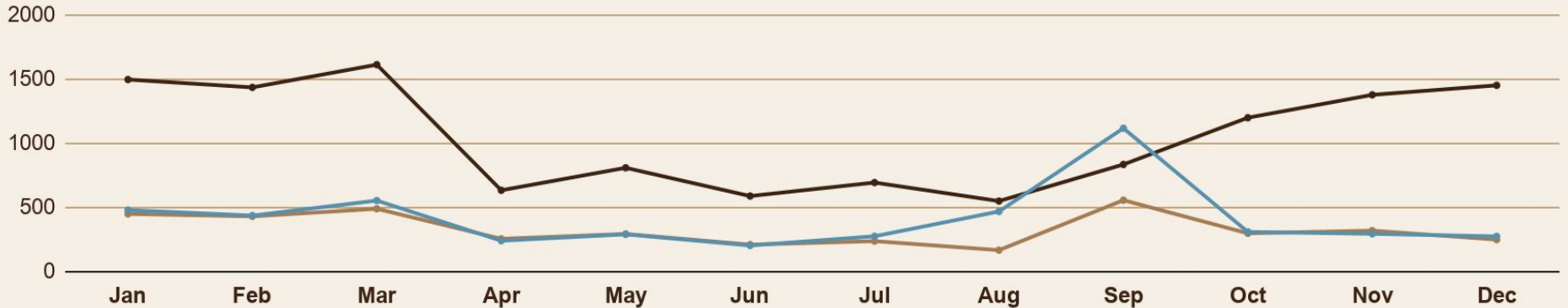


MoM Sales by Item Category

Revenue



Units Sold



Association between City and Item Category

	Boston	Chicago	New York	Austin	Dallas	Houston	Los Angeles	San Diego	San Jose
Drink	0.7	-1.3	-2.5	0.7	0.1	0.4	1.5	1.0	1.8
Food	-1.1	-0.6	3.3	-0.2	1.2	-0.7	-0.8	-1.4	-1.3
Merch	-0.1	2.7	1.2	-1.0	-1.3	-0.1	-1.9	-0.4	-1.9

City and category are not independent, but the effective size is negligible. Key takeaways:

- New York City sells far fewer drinks, and far more food than expected.
- Chicago sells more merchandise than expected.
- Western cities sell more drinks than expected.
- All other cities / categories fall within a normal range.

Stat. Reliability: *Chi-squared: 51.21* | *P-Value* < 0.00001 | *Cramer's V* = 0.035



Transaction & Basket Analysis

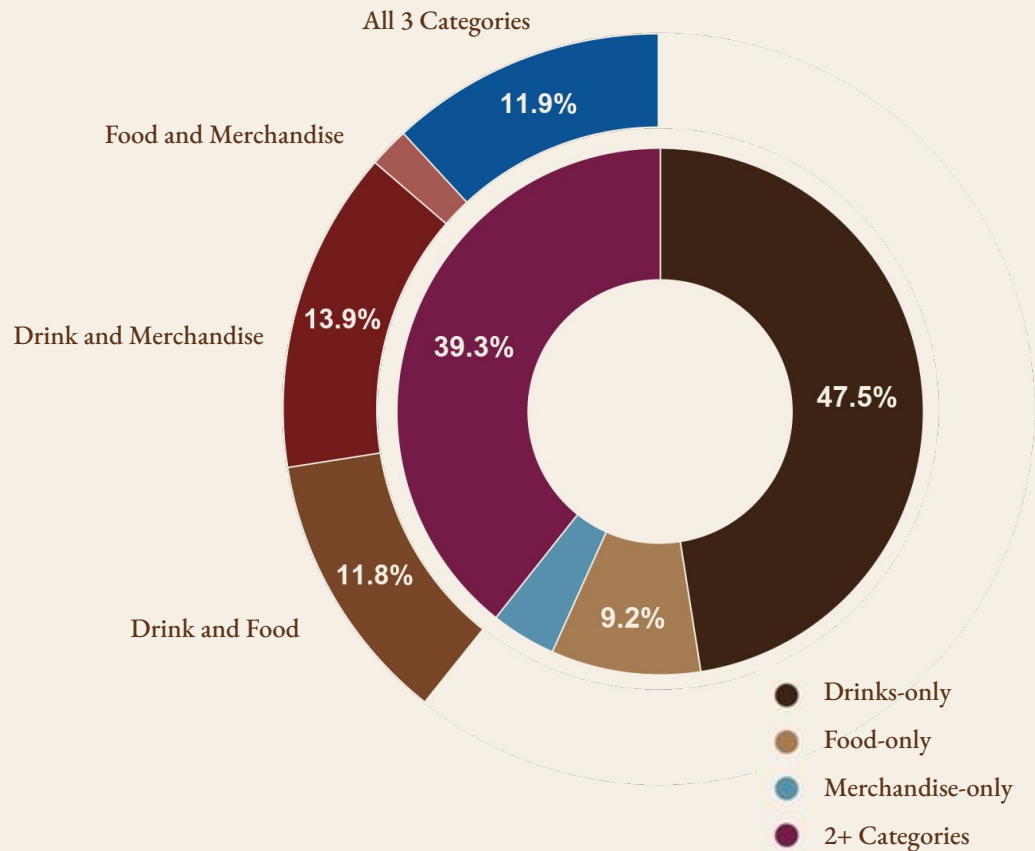
How do loyalty members actually shop – one category or several?

- ▶ Insights from all 10,388 transactions
- ▶ Transaction Composition
- ▶ Basket Analysis with statistical data

Transaction Composition

Transaction Composition

- 47.5 % are drinks-only.
- 9.2 % are merch-only.
- 4.0 % are food-only.
- 39.3% include 2+ categories:
 - Drink + Food only: 11.8%
 - Drink + Merch only: 13.9%
 - Food + Merch only: 1.7%
 - All 3 Categories: 11.9%



Basket Analysis

Antecedents	Consequents	Support	Confidence	Lift	Conviction	Chi-Square (χ^2)	Phi Coeff (r)	Odds Ratio
Food + Merch	Drink	0.119	0.874	1.027	1.182	166.45	0.127	1.761
Drink + Food	Item	0.119	0.5	1.365	1.268	70.88	-0.083	0.617
Drink + Merch	Food	0.119	0.459	1.563	1.306	1031.85	-0.315	0.16

- All three category pairs show statistically significant associations ($p < 0.001$).
- Drink + Merch have the strongest (negative) relationship: customers purchasing an item have ~84% lower odds of buying a drink.
- Food + Merch have a moderately positive relationship: customers purchasing food are ~76% more likely to purchase merchandise.
- Drink + Food show a mild negative relationship: customers purchasing drinks have ~38% lower odds of buying food.
- Effect sizes (phi) are modest, suggesting associations are statistically real, but not strongly deterministic.
- Pattern suggests two distinct loyalty members - a 'drink-only' segment that behaves independently from a 'food and merch' member that may skip drinks.

Insights & Next Steps

MoM Insights and Recommendations

Combat summer slump

- March saw the most purchases of the year while April experienced the biggest drop.
- Investigate: changes that occurred between March and April.
- Consider: launching a summer seasonal menu and promote sales.

Document the September spike

- Review events or promotions that increased traffic and purchases of high-value items and repeat them with intention.
- Consider: expanding promotions or advertising for events ahead of September.

Protect Q1 performance

- Avoid discounting further during this window as customers do not need incentives to purchase.
- Next Step: Build the loyalty member base during this time to better maintain foot traffic later into the year.

Bridge the gap into Q4

- Consider bundling merchandise for the holidays to push transaction values higher.
- Consider: Launch a holiday menu in late October.

Region and Season Insights and Recommendations

Northeast carries the business

- Northeast represents 57.8% of total revenue across all locations.
- Boston is the single highest-revenue location providing 23.3% of revenue.
- Chicago posts the highest average purchase value of any location (\$9.50), despite ranking #2 in total revenue.

Loyalty enrollment doesn't predict revenue

- Houston has the most loyalty customers, but Boston out-earns Houston by nearly twice as much revenue.
- Next step: track revenue-per-customer among loyalists as the more meaningful loyalty metric.

Seasonality is universal, not regional

- Every region experiences a mid-year slump, and sharp jump in sales in September.
- Next step: investigate what causes the seasonal slump and September spike. Build promotions and seasonal menus to stabilize purchase frequency through the year.

West is a volume problem

- The West region generates about 1/3 of the South region, and under 1/5 of the Northeast.
- Per-transaction value in San Diego is \$9.46 on average; the 2nd highest.
- Consider: investigating store count, foot traffic, or local marketing spend in the West before assuming a pricing or product issue.

Product Insights and Recommendations

High Value Merchandise

- Large art prints sell 58.6% less frequently than bags of coffee beans, but generated only 8.3% less revenue.
- Promoting art prints and selling new designs may lead to increased purchase frequency that outpaces revenue from coffee beans.

Savory over sweet

- All savory food additions are more profitable while their sweet counterparts underperform.
- Replacing 2-3 sweet items with savory alternatives could rebalance the menu toward higher-impact food options.

Brewed asset anchors

- Caffe latte, caramel macchiato, cappuccino, and mocha generated \$37,168 combined, and individually sold the most units than any other drink.
- Provide combination deals for food or merchandise that includes these common drinks.

Staple drinks are efficiency traps

- Espresso and drip coffee underperform against all other drinks.
- Consider upselling food with these items to offset the low value, and de-emphasizing them on the menu.

Quarterly Roadmap

Goal: Stabilize and increase loyalty customers

Q1

Build the member base by emphasizing benefits.

Q2

Launch seasonal menu to combat the summer slump.

Q3

Market to events and promotions.

Scale staff and inventory ahead of demand.

Q4

Launch seasonal menu with an emphasis on holiday bundles with merchandise.

Additional Research by Priority

Higher priority investigations

- September promotions and events
 - What is the cause of the spike in revenue, and how can we repeat it?
- West region
 - Why does the West underperform despite average or above-average purchase values?
 - How can we bring more members in?
- March peak / April drop
 - What change(s) led to April's drop in transactions and revenue?

Additional Research by Priority

Lower priority investigations

- Chicago's merchandise outperformance
 - What drives Chicago members to purchase more merchandise?
 - Can this be duplicated in other cities?
- Travel mugs potential
 - Can the sale of travel mugs be increased?
 - Will promotions encouraging travel mug refills enhance traffic?
- Store layout and environment to enhance 'browse and buy' behavior
 - What will encourage members to stay longer and purchase more?

Priority Actions

Ready to plan and implement

- Implement a drink + merchandise tactic for Western region rather than drink + food tactic.
- Rebalance food menu with more savory options.
- Upsell food alongside specialty drinks.
- Emphasize specialty drinks in menu placement.